Organisational Design

Exam code: 9BS0

Download PDF

Written by: Steve Vorster
Reviewed by: Jenna Quinn
Updated on 1 September 2025

Understanding organisational structure terminology

- **Organisational structure outlines the reporting relationships, roles and responsibilities of employees in the organisation**
- Businesses must determine what the best structure is for them to **effectively implement** their ideas and achieve their objectives
  - They should consider how the structure may affect the **management and effectiveness of operations** and communications
  - A well-designed organisational structure helps to promote clarity, efficiency and accountability

Terminology used in organisational design

Term	Definition	Explanation
Hierarchy	• A hierarchy refers to the levels of authority within an organisation	• It describes the ranking of positions from top to bottom • The higher the position in the hierarchy, the more authority and power it holds • The hierarchy usually includes top-level management, middle-level management and lower-level employees
Chain of command	• The chain of command is the **formal line**	• It defines who reports to whom and who is

Stuck on something?
Ask questions and get help with exactly what you're revising.
Got it

	top management to lower-level employees	• The chain of command helps establish a clear communication channel and helps to maintain accountability within the organisation
Span of control	• Span of control refers to the number of employees that a **manager or supervisor effectively manages**	• It is based on the principle that a manager can only effectively manage a limited number of employees • A **narrower span of control** means that there are more layers of management • A **wider span of control** means that there are fewer layers of management
Centralised structure	• Decision-making authority is **concentrated** at the top of the organisation	• Senior management make most of the key decisions • Centralisation can **promote consistency and control**
Decentralised structure	• Decision-making authority is **distributed** throughout the organisation	• Lower-level employees have more decision-making power • Decentralisation can promote **flexibility and innovation**

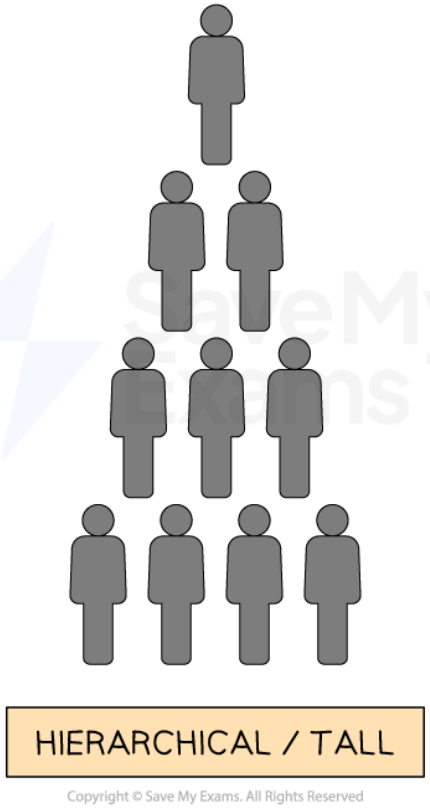
Help me understand

Different types of organisational structure

- Businesses typically structure their organisation in one of three ways:
  - **Tall** organisational structures
  - **Flat** organisational structure

- Tall structures are characterised by multiple levels of management and a more centralised decision-making process
- A **long chain of command**
- Common in large organisations with complex operations, e.g. government agencies and universities

A tall organisational structure



A tall — or hierarchical — structure with a long chain of command and a narrow span of control

Evaluation of tall structures

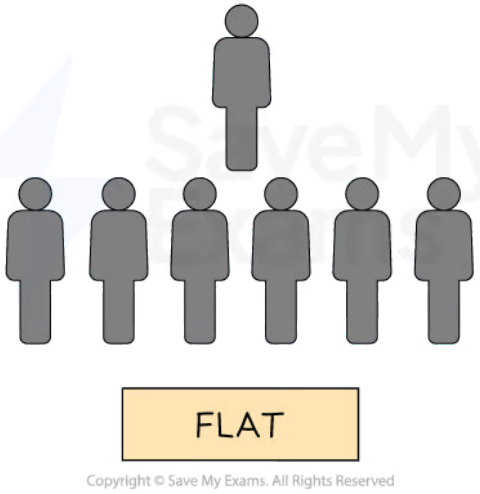
Advantages	Disadvantages

and defined roles and responsibilities • **Promotes specialisation** and expertise within each department or function • Offers **opportunities for career advancement** and promotion within the organisation • All of the above increase efficiency and motivation	between the upper and lower levels of the hierarchy • **Decision-making can be slow** as information must pass through multiple layers of management • This can lead to **bureaucracy** and excessive levels of management • All of the above reduce efficiency and motivation

Flat organisational structures

- Flat structures are characterised by fewer levels of management and a **more decentralised decision-making process**
- A **short chain of command**
- Common in small organisations or start-ups, e.g. tech start-ups and small businesses

A flat organisational structure



A flat organisational structure with a short chain of command and wide span of control

Evaluation of flat structures

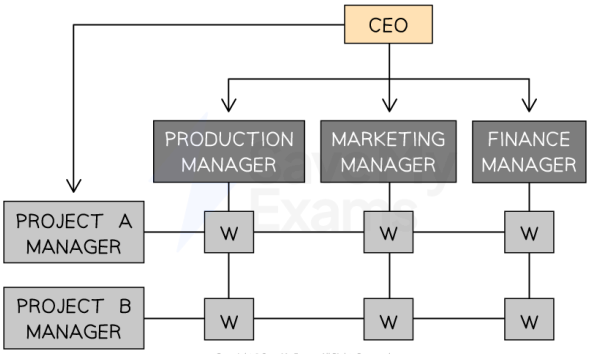
Advantages	Disadvantages
• Promotes a **culture of collaboration** and open communication • Decision-making can be **faster and more efficient** • Encourages **creativity and innovation** as	• This can lead to **role ambiguity** and a lack of a clear hierarchy • May not provide clear opportunities for **career advancement** or promotion

• All of the above increase efficiency and motivation	responsibilities, **leading to burnout** and overwhelm • All of the above reduce efficiency and motivation

Matrix organisational structures

- Matrix structures are usually **built around specific products** or projects, e.g. KitKat has its own team within Nestlé
- They combine the **functional areas of a business** (human resources, finance, marketing, sales) with a specialist team that operates inside the business

A matrix organisational structure



A matrix structure built around specific projects

Evaluation of matrix structures

Advantages	Disadvantages
• Promotes **cross-functional collaboration** and communication • Allows for **specialisation and expertise** within each functional area • Enables efficient allocation of resources and **coordination of multiple projects** • All of the above increase efficiency and motivation	• This can lead to **conflicts over priorities and resources** • This can create **confusion over roles** and responsibilities, particularly when multiple managers are involved • **Requires a high degree of communication** and coordination, which can be challenging • All of the above reduce efficiency and motivation

Teacher only

Create exam-aligned tests
Tailor format & difficulty
Quizzes or homework in minutes
Try Test Builder

Test yourself Flashcards

Was this revision note helpful? Yes No

Previous Next

Course Study tools All topics

Resources

Learning Hub
Scholarship
Join
Past Papers
Solution Banks
Sitemap

Dashboard

Overview
Brand ambassador
Profile
Subscription
Settings
Log out

Company

About us
Exam Specificity
Content Quality
Promotions
Jobs
Terms
Privacy
Cookie Policy
Help and Support

Subjects

Biology
Chemistry
Physics
Maths
Geography
English Literature
Psychology
All Subjects

© Copyright 2015–2026 Save My Exams Ltd. All Rights Reserved.

Neither IBO nor College Board were involved in the production of, and do not endorse, the resources created by Save My Exams.